

SKINHEALTH SYSTEMS INC SKIN

July 21, 2026 - 3:25pm EST

by

RMSMauretania

2026 2027

Price:	0.80	EPS	-	-
Shares Out. (in M):	143	P/E	-	-
Market Cap (in \$M):	114	P/FCF	8	5
Net Debt (in \$M):	141	EBIT	44	53
TEV (in \$M):	256	TEV/EBIT	5.8	4.8

Description

SkinHealth Systems (formerly The Beauty Health Company), at ~\$115m of market cap (~\$255m EV), owns the dominant franchise in professional skincare consumables but is priced as a failed SPAC: a fad beauty device with melting sales and a 2028 refinancing problem. The decline, though, is in one-off device sales, not the recurring stream: the flagship Hydrafacial system is sold to medspas, dermatologists and plastic surgeons, who buy a delivery system once and then reorder proprietary tips, solutions and boosters for every treatment. Consumables are now 71% of revenue at ~80% gross margin, the active installed base is still growing (+4% y-o-y in 1Q26 to 36,419 systems), and, after a first round of cost cuts, EBITDA reached \$46m in the LTM. The stock took a beating on the CEO change in the fall of 2025 and was pressured further by exclusion from the Russell 2000. What remains is a chance to buy a stabilizing razor-and-blade business at below 6x EBITDA — still carrying the bloated cost structure of a “beauty health and wellness” unicorn, plus opportunistic growth initiatives that we ignore in this write-up.

Our base case assumes the current trends simply continue: the installed base grows 2-3% a year and consumables per device dip slightly in 2026 before recovering to ~\$6,300 by 2029 — still ~10% below the ~\$7,000 achieved in both 2019 and 2022. Those assumptions produce \$350m of revenue in 2029 — still 12% below 2023 — but over \$80m of adjusted EBITDA at a 23% margin, a level the company earned in 2018-2019 before the SPAC-era spending binge. From this run-rate, normal-course pricing and exposure to the growing professional aesthetics market should drive high-single-digit revenue growth, which the largely fixed cost base translates into mid-teens EBITDA compounding. At a 12.5x forward multiple on 2029E EBITDA — with the \$250m 2028 notes converted and the share count fully diluted for them — the stock is worth \$5.0 by year-end 2028: roughly 6x the spot, or a ~110% IRR. A deliberately unheroic cross-check at 8x 2027E EBITDA — in line with levered beauty businesses like Coty and Sally Beauty that we consider far inferior — after deducting today's net debt (no conversion, current ~143m share count) still yields \$2.0/share, or over 100% upside. In other words, SKIN offers an equity stub on a valuable franchise with unusually attractive asymmetry if the business merely stops getting worse.

A razor-and-blade franchise inside a broken chart

SKIN was first covered on VIC in a 2023 write-up by [jacob828](#) that describes the business in detail. As a refresher, Hydrafacial is a non-invasive, sub-one-hour treatment that providers position between a traditional facial and injectables: a proprietary vortex-fusion device cleanses, extracts and hydrates the skin, and every treatment consumes Hydrafacial tips and solutions, with higher-priced boosters layered on top. The company books the device sale up front and a recurring consumables stream thereafter. On the buyer side, our provider checks confirm a well-utilized system earns the practice roughly \$100–300 of profit per treatment and can pay back in as little as six months; the device also drives traffic and anchors treatment packages rather than sitting as ornamental capital equipment.

The technology itself is rather trivial, despite the 225+ patents worldwide; the moat is scale and brand. SKIN exited 1Q26 with 36,419 active systems and roughly 60k trained providers, built on over \$700m of cumulative sales and marketing spend during the category-creation phase, with 5m+ treatments delivered globally in 2024 alone. In our survey work, aided awareness of Hydrafacial was ~50% — roughly double the low-20s% for DiamondGlow and Glo2Facial — while ~85% of respondents (spread across different US regions and gender) viewed Hydrafacial pricing as at or below those alternatives. Mature repeat customers typically receive four or more treatments per year. That combination of installed systems, trained providers and brand equity would be prohibitively expensive for a new entrant to recreate. In 2025, consumables revenue grew 2% to \$213m while delivery-system revenue fell 30% to \$88m. That mix makes the stock screen poorly, but the highest-quality two-thirds of the business is holding up well.

Why the opportunity exists

SKIN came public in the 2020–21 SPAC cycle and was run for hypergrowth: peripheral projects, a direct China build-out, and the connected Syndeo device launched before the product and manufacturing system were ready. Quality failures led to replacements, some provider hesitation around new device purchases, inventory charges that obscured normal earnings power, and repeated management turnover. Revenue fell from \$398m in 2023 to \$334m in 2024 and \$301m in 2025; the stock fell from above \$30 to below \$1. The 2023 VIC long argued the initial Syndeo problem was fixed, but the remediation was larger and took longer than early diligence suggested. With all of that now in the past, we no longer need to assume a successful turnaround — simply riding out the existing trends produces meaningful upside.

Further, three things have changed since 2023. First, an initial round of cost rationalization is complete: opex fell 18% y-o-y in 2025 to \$160m and adjusted EBITDA rose from \$12m to \$45m despite a 10% revenue decline; in 1Q26, revenue fell 7% y-o-y but EBITDA still grew to \$8.5m from \$7.3m. Importantly, the opex base is still far from fully rationalized — G&A still runs at over \$100m a year against roughly \$30m pre-SPAC. Second, the recurring base has not collapsed: active systems grew 4% y-o-y in 1Q26 even as new placements fell 13%. Consumables revenue fell 6% in the quarter — the strongest single datapoint against the bull thesis — but that is a long way from providers abandoning the platform en masse, and the longer trend points the other way. We

prefer consumables per active device on an LTM basis in the Americas as the cleanest KPI – it smooths short-term swings in provider ordering and strips out the distribution-model change in China – and on that basis the metric turned up in 1Q26 for the first time since 2024. Third, the debt maturity wall moved: after exchanges and repurchases, only \$103m face of the 2026 notes remained at the end of 1Q26 against \$204m of cash on hand, and the \$250m of 7.95% converts now mature in 2028 – not an issue, in our view, while EBITDA and cash flow keep improving.

Even so, early 2026 was choppy. Guidance was cut after 1Q26, the chief revenue officer left in May as part of the new CEO's management reshuffle, the stock was excluded from the Russell 2000 and now sits below Nasdaq's \$1 minimum bid (compliance deadline November 4, 2026), and \$250m of notes sit against a ~\$255m enterprise value. None of it, however, threatens the stability of the consumables business, which is the core of our investment case at the spot valuation.

Investment thesis

1. The Hydrafacial franchise survived the Syndeo failure

The company was mismanaged, but it is now clear the mistakes did not destroy the franchise. We see little evidence of permanent displacement: the active base grew from 27,406 in 1Q23 to 36,419 in 1Q26, consumables were 71% of 1Q26 sales, our surveys still show a 2x awareness gap versus DiamondGlow and Glo2Facial, and provider checks indicate Hydrafacial functions as an anchor service rather than a price-selected commodity facial. Google search interest for Hydrafacial still runs at over double its 2019 pre-COVID level, while DiamondGlow and Glo2Facial register only a fraction of its volume. We believe current utilization of just below \$6,000 per device a year is the bottom. From there we assume modest growth to ~\$6,300 in 2029 – still 10% below the ~\$7,000 achieved in both 2019 and 2022, when the macro backdrop was arguably more benign. We do not need peak utilization for the idea to work.

2. Consumables shining through, not a new growth story

The table below sets out the base case: modest installed-base growth, consumables per device recovering off the 2026 bottom and delivery systems stabilizing – enough to rebuild revenue to \$350m and adjusted EBITDA to \$81m by 2029.

\$m, except KPIs	2018A	2019A	2025A	2026E	2027E	2028E	2029E	29E/19A
Avg active installed base	9,325	12,198	35,381	36,467	37,402	38,442	39,587	3.2x
Installed-base growth	–	30.8%	6.9%	3.1%	2.6%	2.8%	3.0%	n/m
Consumables / device	\$5,924	\$6,981	\$6,012	\$5,892	\$5,951	\$6,129	\$6,313	(10%)
Consumables revenue	55	85	213	215	223	236	250	2.9x
Delivery-system revenue	57	81	88	79	85	92	100	1.2x
Total revenue	112	167	301	294	308	328	350	2.1x
Adjusted EBITDA	26	37	45	44	53	66	81	2.2x
EBITDA margin	23%	22%	15%	15%	17%	20%	23%	–
FCF after interest	1	(1)	22	14	22	40	52	n/m

Note: 2020–24 omitted as unrepresentative – COVID demand swings and the Syndeo rollout and remediation distort every line through that period. FCF in 2018-2019 was burdened by working capital build-up in growth phase and relatively high interest payments.

We assume SKIN has no revenue growth in 2026, at the top of management's revised \$280–295m range, and let delivery systems fall another 10% before a modest recovery. Our \$44m of 2026E EBITDA sits at the top of the \$35–45m guide that management left intact even as it trimmed revenue, and we think this number is very conservative. Beyond that, we assume the cost cuts hold, gross margin rebuilds and the EBITDA margin returns to 23% – a level achieved in 2018, on a business that today carries a much larger consumables mix and has higher scale to spread fixed SG&A costs. The base case thus contains no bet on category growth; it requires only that costs which should never have been added stay removed.

3. Earnings power masked by a bloated expense base and a botched device rollout

After the Syndeo debacle, SkinHealth has already shown the model's resilience: from 2024 to 2025, gross margin rose from 62.0% to 68.2% (lapping the penal accounting accruals for old-inventory trade-ins) and opex fell \$34.9m, so EBITDA rose \$32.8m despite revenue falling \$33.5m; in 1Q26, gross margin reached 72.2% and opex fell another \$4.4m. Going forward, we assume gross margin rises from 68.5% to 70.0% by 2029 as the sales mix shifts towards consumables. S&M is running at \$90–95m, which we assume stays roughly flat through 2028, giving no credit for potential sales-efficiency gains. In fact, the company now spends above \$25,000 of S&M per new device sold, against just \$15,000 in 2019 and a ~\$20,000–25,000 average selling price per device – again showing that most of the economics sit in consumables running at ~\$6,000 per device per year. We assume G&A stays broadly flat at the current \$100–105m run-rate – stubbornly high for a business of SkinHealth's scale and more than 3x the ~\$30m it operated with in 2019 – while drifting down as a percent of sales. Every \$10m of that G&A excess removed would add over 20% to 2026E EBITDA but we deliberately give no credit for it. These factors alone should produce 20%+ annual EBITDA growth on mid-single-digit revenue growth from 2027. Earnings quality should also improve as the company laps 2025's add-backs: \$16.5m of

litigation costs (the securities case settled in June 2026 for just \$3m from the company, pending court approval) and \$5.6m of restructuring. After accounting for cash interest, capex and working capital, we arrive at free cash flow of \$14m in 2026 growing to \$50m in 2029. Note that we also use a fully diluted share count of ~150m shares to account for the ~2% annual SBC dilution, which is optically inflated to ~\$15m per year by legacy awards struck at much higher prices (outstanding options carry a weighted-average exercise price of \$13.64, and pre-2025 RSUs were granted at a ~\$4.6 average fair value).

4. The balance sheet is solid

The equity market apparently treats the 2028 converts as a looming problem but the bond market is more sanguine: the notes trade around 98.5c, close to par. The \$250m issue was placed in May 2025 at a 7.95% coupon as part of a refinancing in which the company took out its old 1.25% converts largely below par: \$192m of face was repurchased for \$156m in 2024 (an effective ~19% discount), the May 2025 exchange itself was executed at a ~5% discount, and another \$21.3m of the 2026 notes was bought back in February 2026 at ~5% discount as well. After repaying the remaining 2026 notes, the company has \$109m of cash against the \$250m of 2028 converts, leaving \$141m of net debt. At the base-case price the notes convert at \$2.86 into ~87m new shares, and our target uses 237m fully diluted shares versus ~150m fully diluted today. Below \$2.86, SKIN must refinance or repay \$250m in 2028, but we see no need to raise dilutive equity: the FCF path takes net leverage to ~1.0x EBITDA by end-2028 before any conversion – a credible refinancing setup – and the interest burden can be optimized over time.

5. New products and new management are free options

HydraScalp with Keravive and the newly FDA-cleared SkinStylus microneedling indications can deepen provider relationships and improve sales-force productivity. We assign them no value and do not assume they lift Hydrafacial utilization. We also do not assume any heroics from the new CEO. Our reference work on Pedro Malha – who led Zimmer Biomet's dental division, which went from the company's slowest-to-recover segment to its fastest-growing by 2022, and later Abbott's neuromodulation business – points to a commercially oriented operator well suited to a phase where execution matters more than reinvention. We believe management should stay focused on pruning the cost base and monetizing the existing consumables franchise to prove its value to the market. Should the market keep ignoring the equity, the exit math remains very attractive: run purely for its consumables stream, the business would earn a ~40% EBITDA margin – typical of razor-and-blade franchises harvested in run-off – translating into \$60–70m of unlevered free cash flow, or a ~25% yield on today's ~\$255m EV – making SKIN an obvious takeout candidate for private equity. For a strategic, the brand equity alone is cheap at this price: Allergan paid ~\$2.5bn, or ~5x forward sales, for Zeltiq's CoolSculpting in 2017, versus below 1x sales for SKIN today.

Valuation

At \$0.80 the stock trades at just below 6x 2027E EBITDA and 5x 2028E EBITDA.

Scenario	Operating case and valuation	\$ / share	vs. \$0.80
Downside (takeunder)	1.5x current consumables revenue of ~\$210m = ~\$315m EV (~5x the \$60–70m FCF of a consumables-only operator); ~\$220m net debt with ~\$80m of today's cash unexpectedly burned or used by the buyer as the deal premium; 150m shares	\$0.65	(19%)
Base, YE2028	12.5x 2029E EBITDA of \$81m, \$184.7m net cash post-conversion, 237m diluted shares	\$5.0	+525%
Bull, YE2028	15x 2029E EBITDA of \$96m, \$215m net cash post-conversion, 237m diluted shares	\$7.0	+775%

The \$5.0 base case requires SKIN simply to keep up with current trends, convert the notes and earn a normal multiple for a 70% gross-margin, 20%+ EBITDA-margin aesthetics platform – 12.5x EBITDA implies below 2x sales, versus the 4x and 5x forward sales Allergan paid for DiamondGlow and CoolSculpting.

The bull case assumes consumables per device compounds at 5% off the 2026 bottom (to ~\$6,560, still below the 2019/2022 peak), producing ~\$360m of revenue and almost \$100m of EBITDA in 2029. Even at 15x EBITDA, the implied ~4x sales sits at the bottom of the range paid in precedent deals.

The downside is not a projection of terminal decline; it is our guess at the price at which private equity or a strategic would pay a takeout premium and run the company for its consumables cash flow. Run-off economics on ~\$210m of consumables imply a ~40% EBITDA margin – in line with what mature razor-and-blade models earn on their aftermarket once growth spend is cut – supporting \$60–70m of unlevered free cash flow and a ~\$315m valuation at 1.5x revenue, or ~5x FCF. The durability of that stream is underpinned by a device useful life likely above ten years: decade-old Edge systems remain widely used and retain value in the second-hand market. We conservatively assume the ~\$80m of cash above minimum operating needs is either unexpectedly burned before a deal or used by the buyer to fund the takeout premium, leaving ~\$220m of net debt against the ~\$315m EV and ~\$0.65 for the equity.

The current estimates and guidance set-up. Management left the full-year EBITDA guide intact even while trimming revenue after 1Q26 – a guide from a team that has beaten its EBITDA numbers for six consecutive quarters (including by nearly 2x in both 4Q25 and 1Q26). Management's incentive compensation underscores the conservatism. The 2025 annual cash bonus was split 50/50 between revenue and adjusted EBITDA, with the EBITDA leg paying up to 200% of target at maximum. The board set the internal EBITDA target at \$34.5m for a 100% payout and \$43.1m for max – while at the same time publicly guiding the Street to just \$15–25m of adjusted EBITDA, a \$10–20m gap between the internal bar and the public number. Management then delivered \$45.1m, blowing

past even the internal max by \$2m – and they did it in a year in which revenue of \$300.8m missed both the board’s own \$326.8m internal target (paying only 80% on that leg) and the original public guide range. In other words, management set conservative internal targets and sandbagged the public guide. For 2026 we assume the internal budget again sits meaningfully above the public message: the guide is deliberately conservative on gross margin (flat, despite clear upward momentum through 2025) and apparently takes no topline credit for the boosters introduced this year. As the new team builds its public track record and IR activity resumes, we expect the stock’s visibility to improve – part of our base case. In the meantime, the equity is heavily shorted, with ~14 days to cover.

Risks

Macro. Despite skewing heavily towards high-income end-consumers and being further insulated by providers absorbing some of the short-term shocks, Hydrafacial is discretionary; medspa traffic, consumer spending and provider credit can weaken together in a severe macro downturn.

Execution and quality. Syndeo showed that a product failure can have significant negative effects across the business; management turnover (fourth CEO in the past five years since going public) raises the execution bar. Meanwhile, litigation and other earnings add-backs – mostly restructuring charges and Syndeo-related inventory and asset write-downs – have been meaningful and made the stock screen poorly on GAAP numbers. But the road ahead now seems finally clear: the proposed securities class-action settlement carries only \$3m from the company’s coffers (though it remains subject to court approval), the Syndeo issues are far in the past, and management control tools are much improved.

Listing. Nasdaq minimum-bid non-compliance must be cured by November 4, 2026; a reverse split should be an easy fix that does not affect the fundamentals.

Competition. DiamondGlow, Glo2Facial and others compete for provider budgets, but their brand awareness remains low as measured by our surveys and Google Trends. Allergan has bundled DiamondGlow with its aesthetics portfolio through its Alle loyalty points since acquiring it in 2019 – some seven years – and has failed to make a dramatic gain in market share.

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Catalyst

Quarterly evidence that consumables per device has stabilized; continued active installed-base growth; continuing EBITDA beats; retirement of the remaining 2026 notes; regained Nasdaq compliance; incremental contribution from HydraScalp and SkinStylus.

Messages

No messages